Response to Editor

Dear Professor Mueller,

We begin by thanking you for the candid and well-meant advice regarding the timeline of our revision. You are right: a three-year turnaround was far too long, and we should have kept you informed of our progress at regular intervals rather than going silent. The delay was driven almost entirely by the decision to undertake a complete reconstruction of the dataset—a process that proved substantially more time-consuming than we had anticipated—but that context does not excuse the lack of communication. We are genuinely grateful that you honored the original R&R decision despite the circumstances, and we will take your counsel seriously going forward.

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** Following R2's suggestion, the paper now presents the stock market evidence in a table and three event figures. Table 1 reports raw returns for four portfolios—the value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio—over each of the three key events, along with firm counts. Figures 3–5 plot all four series around each event. Over the Joint Resolution window, gold-exposed firms returned 30.9–31.4% against 25.4% for comparable non-exposed firms and 12.1% for the market. A new Internet Appendix section examines every intermediate legal event of the litigation (the first hearing, the lower-court rulings, and the certiorari grants) and reports the corresponding return differentials (Table IA.20); apart from the November 1934 window, in which the second certiorari grant coincided with the midterm election and which we discuss separately, none produced significant differential returns.

- **Robustness with the full set of fixed effects.** Following R6's request, new Internet Appendix Table IA.19 re-estimates columns 2–10 of Table 7 with industry-year fixed effects, so that every characteristic-control specification is also shown with the full fixed-effect structure. $1933 \times \tilde{d}$ remains significant at the 5% level in seven of nine specifications (10% in all nine); the $1934 \times \tilde{d}$ point estimates remain negative but shrink to some extent and lose precision, falling below conventional significance in several columns. Section 5.5 now states the underlying power constraint plainly, in addition to the mechanical collinearity that arises when the characteristic-period interactions and industry-year cells are absorbed simultaneously.

- **Limitations of the exposure measure.** Section 5.5 now contains an explicit limitations paragraph acknowledging that, because virtually all corporate bonds of the era carried gold clauses while preferred shares carried none, our exposure measure is necessarily entangled with the composition of a firm's fixed claims, and that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends and event-time patterns.** Section 5.2 now acknowledges directly that, given the width of the confidence intervals around individual year estimates, the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient, and clarifies that the support for the parallel-trends assumption rests on the full pre-treatment pattern.

- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

Corrections identified while rebuilding the replication code. As part of this revision we rebuilt the paper's replication code end to end, so that every table and figure regenerates from the raw data. This exercise surfaced two issues in Table 4 of the previous draft, which we have corrected; neither affects any result the paper relies on, and we report both columns before and after the corrections below for completeness. First, the note to column 5 misdescribed the specification: the column uses an alternative exposure measure that scales gold-clause debt by the firm's total fixed claims (bank debt, bonds, and preferred shares), rather than the baseline $\tilde{d}$ on a restricted sample. The column header, the table note, and the corresponding text in Section 5 now describe the specification correctly; the estimates are unchanged except for one standard error in the third decimal. Second, the "no redemption" sample of column 4 (and of Internet Appendix Table IA.12, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935, an artifact of missing-value handling in the original code; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. The only significance change is that the marginally significant $1928 \times \tilde{d}$ interaction in column 4 loses its 10% star.

	Column 4 (No redemption)		Column 5 (Fixed claims)	
	Round 1	Revised	Round 1	Revised
Q	0.085***	0.086***	0.123***	0.123***
	(0.015)	(0.014)	(0.022)	(0.022)
$\tilde{d}$	-0.097**	-0.094**	-0.057*	-0.057*
	(0.033)	(0.034)	(0.030)	(0.030)
$1926 \times \tilde{d}$	0.057**	0.061**	0.033	0.033
	(0.021)	(0.022)	(0.026)	(0.026)
$1927 \times \tilde{d}$	0.026	0.010	0.043	0.043
	(0.028)	(0.030)	(0.031)	(0.031)
$1928 \times \tilde{d}$	0.061*	0.039	0.020	0.020
	(0.030)	(0.031)	(0.028)	(0.028)
$1929 \times \tilde{d}$	0.046	0.040	0.005	0.005
	(0.029)	(0.029)	(0.025)	(0.025)
$1930 \times \tilde{d}$	-0.018	-0.024	-0.038	-0.038
	(0.022)	(0.022)	(0.024)	(0.024)
$1931 \times \tilde{d}$	0.004	0.004	-0.015	-0.015
	(0.014)	(0.014)	(0.014)	(0.014)
$1933 \times \tilde{d}$	-0.068***	-0.064***	-0.058***	-0.058***
	(0.013)	(0.013)	(0.013)	(0.014)
$1934 \times \tilde{d}$	-0.032***	-0.036***	-0.043***	-0.043***
	(0.011)	(0.010)	(0.009)	(0.009)
$1935 \times \tilde{d}$	0.025**	0.027**	0.018**	0.018**
	(0.010)	(0.010)	(0.008)	(0.008)
$1936 \times \tilde{d}$	0.001	0.006	-0.011	-0.011
	(0.012)	(0.011)	(0.012)	(0.012)
$1937 \times \tilde{d}$	0.015	0.005	-0.007	-0.007
	(0.016)	(0.016)	(0.017)	(0.017)
$1938 \times \tilde{d}$	0.000	0.009	-0.006	-0.006
	(0.019)	(0.019)	(0.019)	(0.019)
$1939 \times \tilde{d}$	-0.021	-0.025	-0.034*	-0.034*
	(0.015)	(0.016)	(0.017)	(0.017)
$1940 \times \tilde{d}$	-0.005	-0.013	-0.013	-0.013
	(0.016)	(0.016)	(0.016)	(0.016)
R^2	0.221	0.224	0.252	0.252
Observations	5,572	5,918	6,048	6,048

Once again, we are grateful for the opportunity to revise our paper for possible publication at the Review of Financial Studies. We believe the comments and suggestions of the entire review team have substantially improved the manuscript. We look forward to hearing back from you.

Sincerely,

Joao Gomes, Mete Kilic, and Sebastien Plante

REFERENCES